

Natural Gas Comment: China's Destocking Through April Suggests Higher LNG Imports Ahead of The Winter

- **Upside risks to TTF prices remain.** The China April gas data released this week, combined with high-frequency data on China LNG imports and prices, reinforces the upside risks we see to our 44/40 EUR/MWh (\$14.90/\$13.65/mmBtu) 3Q26/4Q26 TTF price forecasts (to 65/53 EUR/MWh) in a scenario where a Hormuz flow normalization is delayed to late-Jul (vs our late-Jun base case).
- **China gas demand remains weak...** China apparent gas demand for April was marginally down yoy at 379 Bcm/y, missing our expectations by 8 Bcm/y, consistent with the broader miss in China activity data for the month (Exhibit 1). Industrial production growth fell to 4.1% yoy in April from 5.7% yoy in March despite stronger-than-expected exports, with the gas-intensive chemicals sector (worth 40 Bcm/y or 29 mtpa of gas demand in 2023 according to the IEA¹) one of the main drivers of China activity weakness.
- **...but not enough to prevent further destocking.** Despite the weakness in gas demand, a combination of April LNG imports still well below last year's levels, and China domestic gas production and pipeline imports missing our expectations led to China April gas storage building by less than we expected, taking inventories down yoy for the first time in several years (Exhibit 2). This suggests higher LNG imports sequentially will likely be needed for China to manage inventories back up yoy ahead of the next winter. This is consistent with China's high-frequency LNG import data for May (Exhibit 3), now more visibly closing its gap to last year's levels, and with the Asia LNG price premium to European gas (JKM-TTF spread) remaining strong, incentivizing supply re-routes from the Atlantic to the Pacific (Exhibit 4).
- **Minimal LNG supply maintenance not enough to stop European imports from falling.** One partial offset to this rebound in China (and broader Asia) LNG demand is the fact that several LNG suppliers appear (based on their LNG loading data) to be postponing or skipping maintenance so far this summer, including Malaysia, Oman, and Angola, on net taking global LNG loadings up yoy for the first time since before the Iran conflict started (Exhibit 5). However, in addition to maintenance avoidance being unsustainable over time, this has so far only slowed, not prevented, a sequential decline in NW European LNG imports vs last year (Exhibit 6), suggesting upside risks to TTF (and JKM) prices remain, should the Hormuz energy flow disruption linger. Accordingly, we recommend that natural gas consumers in Europe and Asia hedge their 2026-27 winter gas

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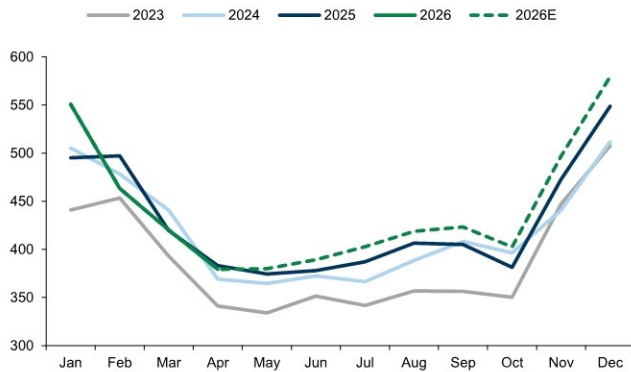
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¹ Includes both energy and feedstock gas consumption.

price exposure.

Exhibit 1: China gas demand growth has remained weak...

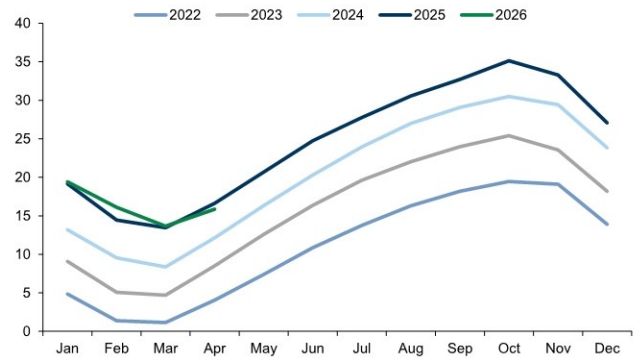
China apparent gas demand, Bcm/y



Source: SIA, Kpler, Goldman Sachs Global Investment Research

Exhibit 2: ...but not enough to prevent inventories moving down yoy in April

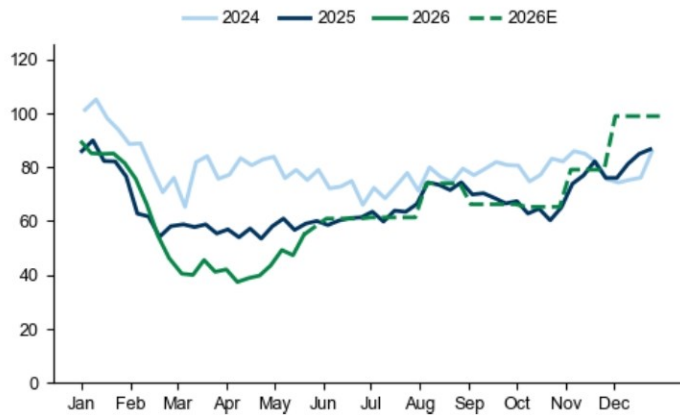
China underground gas storage, Bcm



Source: SIA, Goldman Sachs Global Investment Research

Exhibit 3: China LNG imports are increasing sequentially, which we expect to continue through the summer

China LNG imports, mpta



Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 4: The JKM-TTF premium remains strong enough to cover the incremental cost for the US to ship LNG to Asia vs to Europe

JKM-TTF spread and the US shipping cost differential (lhs) vs US LNG loadings to Europe vs to Asia, mtpa (rhs)

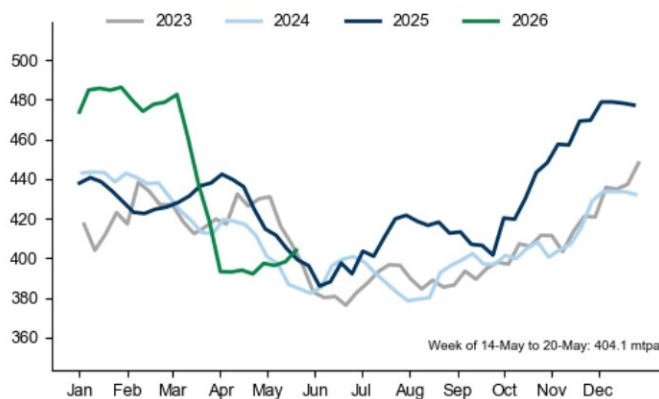


US shipping cost differential to deliver LNG in Asia vs in Europe calculated based on the S&P Global Commodity Insights daily published full shipping cost by route.

Source: ICE, Platts, Kpler, Goldman Sachs Global Investment Research

Exhibit 5: LNG loadings are now marginally up yoy as suppliers postpone maintenance...

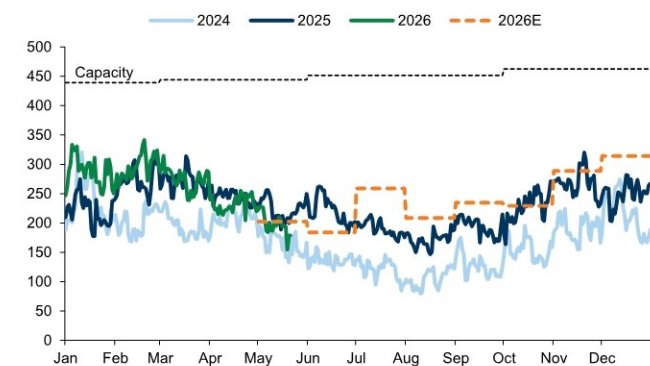
Global LNG loadings, mtpa



Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 6: ...slowing, but not preventing, a yoy decline in European LNG imports

North West Europe LNG imports, mcm/d



Source: Kpler, Goldman Sachs Global Investment Research

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